

For an analogy in general history and in literature we refer the reader to the section of *Faust* (part 2), in which Goethe describes the invention of paper money. As an ominous precedent on Wall Street history, we may mention the warrants of American & Foreign Power Co., which in 1929 had a quoted market value of over a billion dollars, although they appeared only in a footnote to the company's balance sheet. By 1932 this billion dollars had shrunk to \$8 million, and in 1952 the warrants were wiped out in the company's recapitalization—even though it had remained solvent.

Originally, stock-option warrants were attached now and then to bond issues, and were usually equivalent to a partial conversion privilege. They were unimportant in amount, and hence did no harm. Their use expanded in the late 1920s, along with many other financial abuses, but they dropped from sight for long years thereafter. They were bound to turn up again, like the bad pennies they are, and since 1967 they have become familiar “instruments of finance.” In fact a standard procedure has developed for raising the capital for new real-estate ventures, affiliates of large banks, by selling units of an equal number of common shares and warrants to buy additional common shares at the same price. *Example:* In 1971 CleveTrust Realty Investors sold 2,500,000 of these combinations of common stock (or “shares of beneficial interest”) and warrants, for \$20 per unit.

Let us consider for a moment what is really involved in this financial setup. Ordinarily, a common-stock issue has the first right to buy additional common shares when the company's directors find it desirable to raise capital in this manner. This so-called “preemptive right” is one of the elements of value entering into the ownership of common stock—along with the right to receive dividends, to participate in the company's growth, and to vote for directors. When separate warrants are issued for the right to subscribe additional capital, that action takes away part of the value inherent in an ordinary common share and transfers it to a separate certificate. An analogous thing could be done by issuing separate certificates for the right to receive dividends (for a limited or unlimited period), or the right to share in the proceeds of sale or liquidation of the enterprise, or the right to vote the shares. Why then are these subscription warrants created as part of the original capital structure? Simply because people are inexpert in financial matters. They don't realize that the common stock is worth less with warrants outstanding than otherwise. Hence the package of stock and warrants usually commands a better price in the